

**CHAPTER lii.**

An Act to confer further powers upon the Grampian Electricity Supply Company and for other purposes. A.D. 1924.
[1st August 1924.]

WHEREAS by the Grampian Electricity Supply Act 1922 (in this Act called "the Act of 1922") the Grampian Electricity Supply Company (in this Act called "the Company") were incorporated and were authorised to construct certain generating stations and works and to supply electricity within the area of supply defined by that Act :

And whereas it is expedient that the provisions in this Act contained in relation to the issue of the capital of the Company the qualification of directors and the management of the affairs of the Company should be enacted :

And whereas it is expedient that powers should be conferred upon the Company and local authorities companies bodies and persons in relation to the acquisition by the Company by agreement of undertakings authorised by Provisional or other Orders under the Electricity (Supply) Acts 1882 to 1922 and of generating stations sub-stations and other works as hereinafter provided :

And whereas it is expedient that the provisions hereinafter contained in relation to the valuation and rating of the lands and heritages of the Company should be made :

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And whereas it is expedient that the provisions of the Act of 1922 in relation to the purchase of the undertaking of the Company should be amended and that such further provisions should be enacted and such further powers be conferred upon the Company as are in this Act contained :

And whereas the purposes aforesaid cannot be effected without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say) :—

Short title
and cita-
tion.

1.—(1) This Act may be cited as the Grampian Electricity Supply Act 1924.

(2) This Act may be construed as one with the Act of 1922 and that Act and this Act may be cited together as the Grampian Electricity Supply Acts 1922 and 1924.

As to dis-
posal of
shares or
stock.

2. The Company may in issuing any portion of the capital authorised by the Act of 1922 dispose of all or any of the shares or stock representing the same at such times to such persons on such terms and conditions and in such manner as the directors think advantageous to the Company.

As to quali-
fication of
directors.

3. Notwithstanding anything in the Companies Clauses Consolidation (Scotland) Act 1845 no person shall be disqualified from being a director by reason of his holding any office or place of trust or profit under the Company or by reason of his being interested in any contract with the Company nor shall any director be required to cease from voting or acting as a director by reason of his accepting any such office or place of trust or profit or becoming interested in any such contract Provided that in the case of his being or becoming interested in any contract with the Company whether such interest shall arise before or after his appointment as a director the nature of his interest in the contract shall be disclosed by him at the meeting of the directors at which the contract is determined on if his interest then exists or in any other case at the first meeting of the directors after the acquisition of his interest or after his

appointment and also in the next annual report of the Company and that no director shall as a director vote in respect of any such contract and if he does so vote his vote shall not be counted but this prohibition shall not apply to any contract by or on behalf of the Company to give to the directors or any of them any security by way of indemnity. A.D. 1924

4. The continuing directors may act notwithstanding any vacancy in their body but so that if at any time the number of the directors holding office shall be less than the minimum number prescribed by the Act of 1922 the directors shall not except for the purpose of filling vacancies and allotting shares to any proposed director or directors act so long as the number is below such minimum. Continuing directors.

5. Except in the case of a director retiring by rotation and offering himself or being proposed for re-election no person shall be capable of being elected a director in place either of a director retiring by rotation or of a director dying refusing to act or ceasing to be qualified or being disqualified to act unless notice in writing that such person intends to offer himself or will be proposed for the office of director shall have been given to the secretary of the Company or left at the office of the Company fourteen days at least before the day of election. Notice of candidature for office of director.

6.—(1) The directors may appoint one or more of their body to be managing director or managing directors of the Company either for a fixed term or without any limitation as to time and may remove or dismiss him or them from office and appoint another or others in his or their place or places. Appointment of managing director.

(2) A managing director shall not while holding that office be subject to retirement by rotation and shall not be taken into account in determining the rotation of retirement of directors but if he ceases to hold the office of director he shall ipso facto immediately cease to be a managing director.

(3) The remuneration of a managing director shall from time to time be fixed by the directors and may be by way of salary or commission or participation in profits or by any or all of those modes.

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(4) The directors may entrust to and confer upon any managing director such of the powers exerciseable by the directors and subject to such conditions as they may think fit and may from time to time revoke withdraw alter or vary all or some of such powers.

Interim
dividend.

7. The directors may in any year without calling a meeting of shareholders for the purpose declare and pay such interim dividend out of the then ascertained profits of the Company as in their judgment the position of the Company justifies.

Closing of
transfer
books.

8.—(1) The directors may close the register of transfers of shares or stock for a period not exceeding fourteen days previous to the declaration of any dividend and they may close the register of transfers of mortgages debentures or debenture stock for a period not exceeding fourteen days previous to each date at which the interest thereon shall be payable and in the case of any such register they may fix a day for closing the same of which seven days' notice shall be given either by circular to each proprietor or by advertisement in some newspaper published or circulating in the district within which the principal office of the Company is situate.

(2) Any transfer of shares stock mortgages debentures or debenture stock made during the time when the register of transfers of such security is so closed shall as between the Company and the person claiming under the same but not otherwise be considered as made subsequently to the declaration of any such dividend or the payment of any such interest as the case may be.

Quorum of
general
meetings.

9. The quorum of a general meeting of the Company whether ordinary or extraordinary shall be seven shareholders or stockholders present in person or by proxy holding together not less than one-twentieth part of the capital of the Company for the time being issued.

Notices of
meetings.

10. Notwithstanding anything in the Companies Clauses Consolidation (Scotland) Act 1845 notice of all meetings of the Company whether ordinary or extraordinary may (if the directors so determine) be given by letter sent by ordinary letter post to each shareholder or stockholder instead of by public advertisement. Provided that the letters giving the notice shall be directed according to the registered address or other known

address of each shareholder or stockholder prepaid and posted not later than seven clear days before the date of the meeting. In proving that any such notice has been given it shall be sufficient to prove that the letter containing the notice was properly addressed and put into the post office as a prepaid letter not later than the time hereby prescribed.

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11.—(1) At all general meetings of the Company every holder of ordinary shares or stock shall be entitled to one vote in respect of every share of the nominal value of one pound or of each one pound of stock held by him. Provided always that no shareholder or stockholder shall be entitled to vote at any meeting in respect of any share or stock on which any call remains unpaid.

Defining
right of
voting.

(2) Except as otherwise expressly provided by the resolution creating the same no person shall be entitled to vote in respect of any share or stock to which a preferential dividend shall be assigned.

12. Notwithstanding anything in the Companies Clauses Consolidation (Scotland) Act 1845 the attorney of any shareholder or stockholder of the Company duly authorised in writing may appoint a proxy to vote for and on behalf of the shareholder or stockholder and for that purpose may execute on behalf of the shareholder or stockholder the necessary form of proxy. Provided that the instrument appointing the attorney shall be transmitted to the secretary of the Company at the same time as the instrument appointing the proxy.

Appoint-
ment of
proxies.

13. Notwithstanding anything in the Companies Clauses Consolidation (Scotland) Act 1845 where several persons are jointly entitled to and registered as holders of shares or stock in the capital of the Company any one of those persons may vote at any meeting (at which holders of shares or stock of the same class are entitled to vote) either personally or by proxy in respect of the shares or stock as if he were solely entitled thereto but if more than one of the joint holders be present at any meeting personally or by proxy that one of the said persons so present whose name stands first on the register in respect of the shares or stock shall alone be entitled to vote in respect thereof. Several executors or administrators of a deceased member in whose name any share or stock stands shall for the purposes of this section be deemed joint holders thereof.

Joint
holders.

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Auditors.

14. The prescribed number of auditors of the Company shall be one but the number may be increased to two by a resolution of the Company passed at a general meeting and such auditor or auditors shall be either (a) a chartered accountant or chartered accountants or (b) a member or members of the Society of Incorporated Accountants and Auditors or (c) an accountant or accountants approved by the Minister of Transport. The auditor or auditors need not hold shares or stock in the capital of the Company.

Determina-
 tion of re-
 munerat-
 ion of secre-
 tary and audi-
 tors.

15. In addition to the powers which the directors may exercise under the Companies Clauses Consolidation (Scotland) Act 1845 and the Companies Clauses Act 1863 as amended by subsequent Acts they may determine the remuneration of the secretary and auditors of the Company.

Company
 may acquire
 other under-
 takings
 generating
 stations &c.

16.—(1) Section 73 (Transfer of undertakings of local authorities and others to Company) of the Act of 1922 shall be read and have effect as if in subsection (1) thereof after the words “within or partly within the area of supply” there had been inserted the words “or adjacent thereto.”

(2) The Company may with the approval of the Electricity Commissioners by agreement but not otherwise purchase take on lease or otherwise acquire work use maintain alter and improve any generating station or sub-station and the works connected therewith or incidental thereto belonging to any local authority company body or person and situate in any area of supply within or adjacent to the area of supply and may sell or otherwise dispose of or discontinue the working and use of any such generating station sub-station or works so acquired or any part thereof.

(3) The purchase price payable by the Company in respect of the transfer of any undertaking or part thereof or any generating station sub-station or works acquired by the Company under the provisions of the said section 73 of the Act of 1922 and this section from any undertakers company body or person (not being a local authority) may if the parties to the agreement so agree be discharged wholly or in part by the allotment to such company body or person of fully paid-up shares or stock in the capital of the Company or such mortgages debentures or debenture stock as shall be agreed upon between the Company

and such undertakers company body or person and it shall be lawful for the Company to issue such shares stock mortgages debentures or debenture stock accordingly and all shares or stock issued in pursuance of this section shall for all purposes be deemed to be fully paid-up shares or stock in the capital of the Company and any such undertakers company or body may notwithstanding anything contained in any Act Order or instrument by or under which such undertakers company or body are constituted or regulated accept hold and dispose of such shares stock mortgages debentures or debenture stock. A.D. 1924.

(4) The provisions of the section of this Act whereof the marginal note is "Purchase of undertaking" shall not apply to or in respect of any undertaking or part thereof or any generating station sub-station or works acquired by the Company under the provisions of the said section 73 of the Act of 1922 or this section.

17. The obligation to supply electricity imposed on the Company by the Act of 1922 shall in relation to the county of Forfar include an obligation on the Company subject to the conditions prescribed by that Act to have a supply of electricity available at a point not more than six miles from the county hall Forfar measured in a westerly or south-westerly direction to consumers within the said county from a generating station constructed on either of the lands or some part of the lands described in the First Schedule to the Act of 1922 and at a date not later than two years from the date on which the Company commence to supply electricity from any such generating station. As to supply of electricity in county of Forfar.

18. Sections 80 (For protection of corporation of Glasgow) and 81 (For protection of city of Dundee and Dundee Gas Commissioners) and subsections (1) and (4) of section 82 (For protection of burgh of Perth) of the Act of 1922 shall apply to the powers conferred upon the Company by this Act as if such powers had been included among the powers conferred upon the Company by the Act of 1922. For protection of Glasgow Dundee and Perth.

19. In the event of the undertaking of the Arbroath Electric Light and Power Company Limited authorised by the Arbroath Electric Lighting Order 1907 or any part thereof being acquired by or transferred to the Company For protection of corporation of Arbroath.

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For protec-
tion of
Clyde Valley
Electrical
Power
Company.

20. For the protection of the Clyde Valley Electrical Power Company (in this section called “the Clyde Valley Company”) the following provisions shall (except so far as may be otherwise agreed in writing between the Clyde Valley Company and the Company) apply and have effect:—

The Company shall not without the consent of the Clyde Valley Company exercise any of the powers conferred by the section of this Act whereof the marginal note is “Company may acquire other undertakings generating stations &c.” within the area of supply of the Clyde Valley Company defined in the Clyde Valley Electrical Power Act 1901 as such area of supply may be extended by any Act passed consequent upon the application of the Clyde Valley Company to the Secretary for Scotland in the month of December one thousand nine hundred and twenty-three.

Application
of moneys.

21. The Company may apply to the purposes of this Act to which capital is properly applicable any moneys which they have raised or may hereafter raise under the authority of the Act of 1922.

Power to
other com-
panies &c.
to subscribe
for shares
&c. of
Company.

22. Any company or body of persons producing or supplying electricity within or beyond the area of supply may notwithstanding anything contained in any Act order or instrument by or under which it is constituted or regulated subscribe for purchase hold and dispose of shares stock mortgages debentures or debenture stock of the Company and any such company or body of persons may apply any of their funds for any such purpose.

As to valu-
ation of
lands and
heritages of
Company.

23.—(1) For the purpose of ascertaining from time to time the annual value of the lands and heritages of the Company to be entered in the valuation roll or rolls made up in terms of the Lands Valuation (Scotland) Act 1854 and Acts amending and extending the same for

the parishes counties or burghs in which such lands and heritages are situate there shall notwithstanding anything contained in those Acts be deducted from the gross income of the Company an amount equivalent to five per centum on the total sum at the time expended by the Company (as ascertained from their annual accounts) in respect of the appropriation impounding storing collecting abstracting diverting and conveying of water for the purposes of producing and transmitting power (including expenditure on dams watercourses sluice gates pipes tunnels culverts and other works and buildings and such lands and servitudes as are used by the Company and generally all other expenditure in connection with the aforesaid purposes).

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(2) The provisions of this section shall only apply for a period of five years from the date at which the said lands and heritages would for the first time but for this section on account of the revenue of the Company be assessed to local rates.

24.—(1) For the purposes of all rates and assessments which any town council may assess impose levy and recover the annual value of the property works and apparatus mentioned in subsection (3) of this section shall be held to be one-fourth of the annual value thereof entered in the valuation roll or rolls for the time being.

As to rating
of certain
property of
Company.

(2) For the purposes of all rates and assessments which any county council parish council or other local rating authority (not being a town council) may assess impose levy and recover the annual value of the property works and apparatus mentioned in subsection (3) of this section shall be held to be one-half of the annual value thereof entered in the valuation roll or rolls for the time being.

(3) The property works and apparatus hereinbefore referred to are :—

(a) all underground water pipes electric lines and other underground water and electric works belonging to the Company and situate within the area of supply; and

(b) all overhead electric lines and all electric standards poles and towers and other works of a similar nature and apparatus connected therewith belonging to the Company and situate

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—

within the area of supply and used for the purposes of the transmission and distribution of electricity.

(4) The provisions contained in this section shall be in addition to and not in substitution for any deductions allowances or abatements in respect of rating to which the Company are or may be entitled under any Act or Order relating to rating but the Company shall not under section 37 of the Poor Law (Scotland) Act 1845 be entitled during the period referred to in subsection (5) of this section to claim any deductions from the annual value of the property works and apparatus hereinbefore referred to as entered in the valuation roll or rolls for the time being except as expressly provided by subsection (2) of this section.

(5) The provisions of this section shall only apply for a period of five years from the date at which the said property works and apparatus would for the first time but for this Act on account of the revenue of the Company be assessed to local rates.

Purchase of
under-
taking.

25. Save so far as the Board of Trade (in this section referred to as "the Board") may on the application of the Company otherwise direct the following provisions shall apply and have effect (that is to say):—

- (1) The Board with the consent of the Treasury may at any time within six months after the thirty-first day of December one thousand nine hundred and ninety-eight or within six months after the expiration of any subsequent period of fifteen years by notice in writing require the Company to sell to the Board at the expiration of such period (not being less than one year nor more than three years from the date of the notice) as is mentioned in the notice so much of the undertaking of the Company authorised by the Act of 1922 as is for the time being used by the Company in connection with the appropriation diversion and user of water for the production of motive power and the generation of electricity thereby (including lands wayleaves and other servitudes buildings machinery works and apparatus of the Company used in so producing motive power and generating electricity)

and at the expiration of the period mentioned in the notice (hereinafter in this section referred to as "the date of purchase") the Company shall sell and the Board shall purchase the same at the price hereinafter in this section mentioned : A.D. 1924.

(2) The price to be paid shall be :—

(a) as respects so much of the part of the undertaking purchased as consists of civil engineering works and other property of a permanent character including land wayleaves and other servitudes dams watercourses and buildings an amount equal to the amount of capital expended thereon by the Company at the date of purchase as shown by the audited accounts of the Company less an amount equal to :—

(i) one and one-half per centum on the amount of the capital expended as at the thirty-first day of December one thousand nine hundred and eighty-four for each year that has elapsed from the said thirty-first day of December to the date of purchase; and

(ii) one and one-half per centum on the amount of any additional capital which may be expended after the said thirty-first day of December for each year that has elapsed from the date of the expenditure of such capital to the date of purchase;

(b) as respects so much of the part of the undertaking purchased as consists of other works including sluice gates pipes turbines electric generators and other machinery and plant an amount equal to the amount of the capital expended thereon by the Company at the date of purchase as shown by such audited accounts as aforesaid less the value of any physical deterioration which may be shown to have occurred therein :

Provided that the price to be paid for any work or building shall in no case exceed the cost of the replacement thereof at the date of the notice to purchase and that the price to

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be paid under paragraph (a) of this subsection for any work or building shall not exceed the capital expended thereon as shown by such audited accounts as aforesaid less the value of any physical deterioration which may be shown to have occurred therein :

(3) As from the date of purchase all rights powers and authorities exerciseable by the Company in relation to the part of the undertaking purchased (including the power of taking water) and all liabilities or obligations to which the Company may be subject in relation to the taking of water the discharge of compensation water the supply of water the control and maintenance of sluices ladders croys and other apparatus the payments for wayleaves or other servitudes and generally in relation to the part of the undertaking purchased (but not including any obligations in relation to the supply of electricity except for the purposes of subsection (4) of this section) shall be transferred to and vest in the Board and on the completion of the purchase the part of the undertaking purchased shall vest in His Majesty free from any debts or mortgages of the Company :

(4) As from the date of purchase the Board shall if so required in writing by the Company not less than six months prior to the date of purchase supply to the Company for such period not exceeding seven years after the date of purchase as may be specified by the Company and at such price as is hereinafter mentioned such an amount of electricity as the Company may require not exceeding in any one year the highest amount actually supplied from the generating station or stations of the Company purchased by the Board in any one of the five years immediately preceding the date of the said notice of purchase and also not exceeding at any time the amount which can be produced by the water available and the capacity of the plant installed at the said generating station or stations at the date of purchase and such supply shall be afforded at the said generating station or stations :

The price at which electricity shall be so supplied shall not exceed the cost reasonably incurred by the Board in complying with the requirements of the Company (including costs of generation repairs and maintenance interest charges and allowance for depreciation):

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(5) If any question arises—

(a) as to the works or property to be included in the purchase or the liabilities or obligations to be transferred to the Board thereon; or

(b) as to the price to be paid to the Company for the part of the undertaking purchased; or

(c) as to the amount of electricity to be supplied to the Company under subsection (4) of this section or the price of such supply;

the question shall be determined by the arbitration of an arbiter appointed by the Lord President of the Court of Session:

(6) Nothing in this section shall affect any part of the undertaking of the Company not included in the purchase or any power right authority obligation or liability of the Company to supply electricity but no obligation of the Company under the Act of 1922 or this Act to furnish a supply of electricity shall be enforceable against the Company after the date of purchase if and so far as the performance thereof is rendered impracticable in consequence of such purchase.

26. Section 92 (Purchase of undertaking) of the Act of 1922 is hereby repealed.

Repeal of certain provisions of Act of 1922.

27. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

Costs of Act.

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